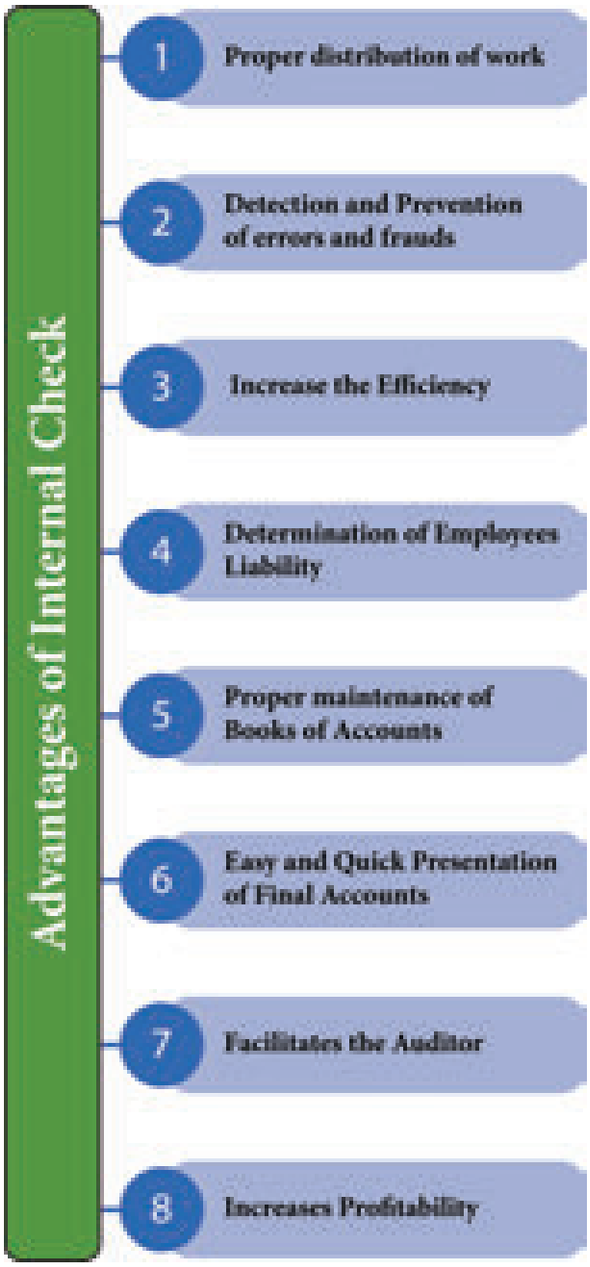


5. **Proper Maintenance of Books of Accounts:** Internal check system helps to maintain proper records and ensures accuracy of the entries in the books of accounts.
6. **Easy and Quick Presentation of Final Accounts:** Internal check enables quick presentation of final accounts i.e., Profit and Loss Account and Balance Sheet immediately after closing of the accounting period.
7. **Facilitates the Auditor:** When there is an effective internal check system the statutory auditor can rely on the system. He can avoid detailed checking of transactions. He can select limited sample of transactions. This enables him to finish the audit work within time.
8. **Increases Profitability:** Overall efficiency and economy of operations leads to increased earnings for the owners of the enterprise.

1.7 Disadvantages of Internal Check

The disadvantages of internal check are given below.



1. **Expensive:** The system of internal check is more expensive and time consuming.
2. **Not Applicable for Small Organization:** This system is not applicable for small organization where there are only few employees. Only large organization having number of departments and

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